III

In 2009, as regulators started figuring out what needed to be done to make sure the financial system was made more secure after the financial crisis, I delivered the Homer Jones Lecture organized by the Federal Reserve Bank of St Louis in St Louis on 15 April. This is what I said. (I thank Luigi Zingales for very useful discussion including some of the ideas in this talk.)

The Credit Crisis and Cycle-proof Regulation

There is some consensus that the proximate causes of the crisis are: (i) the U.S. financial sector misallocated resources to real estate, financed through the issuance of exotic new financial instruments; (ii) a significant portion of these instruments found their way, directly or indirectly, into commercial and investment bank balance sheets; (iii) these investments were largely financed with short-term debt; (iv) the mix was potent, and imploded starting in 2007. On these, there is broad agreement. But let us dig a little deeper.

This is a crisis born in some ways from previous financial crises. A wave of crises swept through the emerging markets in the late 1990s: East Asian economies collapsed, Russia defaulted, and Argentina, Brazil, and Turkey faced severe stress. In response to these problems, emerging markets became far more circumspect about borrowing from abroad to finance domestic demand. Instead, their corporations, governments, and households cut back on investment and reduced consumption.

From net absorbers of financial capital from the rest of the world, a number of these countries became net exporters of financial capital. When combined with the savings of habitual exporters like Germany